

a year, consider supplementing your employer's coverage with an individual policy. (More on that later.)

- **Ask about waiting periods and benefit periods.** You'll typically start receiving benefits three to six months after becoming disabled. This period is known as the waiting period or **elimination period**. (I guess that's because during it, any savings you have are eliminated!) Most employers who offer disability coverage also offer short-term benefits that cover the elimination period; at the low end of the scale, these benefits are called "sick leave." The period of time during which you receive disability payouts is known as the **benefit period**. During this time, you don't have to pay premiums. Many companies offer policies that pay disability benefits until the employee reaches age 65.
- **Take advantage of your flexible benefits plan.** Sometimes you're given a choice between disability insurance and life insurance. If you're single with no kids, pick disability. On average, 20-year-olds are twice as likely to become disabled before retirement as they are to die.

What to Look For in an Individual Disability Policy

Insurance companies offer all kinds of confusing extras attached to their disability policies. Below are the basics you will need:

- **A policy that's non-cancelable.** This means the insurer generally can't cancel your current policy or raise your premium for any reason.
- **A policy that's guaranteed renewable.** This means you can renew each year without taking a medical exam, and the insurer can't single you out for a rate increase just because you've made a lot of claims. Only general rate increases will affect you.
- **A policy that offers residual benefit protection.** If you're partially disabled, some policies will pay you a portion of